

Policy Instruments



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Definition

Policy instruments constitute a pillar of policy studies; they are essential heuristic devices for understanding and explaining policy dynamics. Scholars agree substantially on what policy instruments are: They can be defined as ‘an identifiable method through which collective action is structured to address a public problem’ (Salamon, 2002, p. 19), ‘a set of techniques by which governmental authorities wield their power in attempting to ensure support and affect or prevent social change’ (Vedung, 1998, p. 21), as the means governments use ‘to deliberately affect the nature, types, quantities and distribution of the goods and services provided in a society’ (Howlett, 2000, p. 415) or as ‘the techniques through which governments perform their operations, including finding and implementing (ideally) effective solutions to collective problems’ (Capano & Howlett, 2022, p. 72). All in

all, the most commonly used and prominent definitions of policy instruments agree that instruments refer to the *ways through which policymakers get things done*.

Policy Instruments as a Key Lens for Understanding Policy Dynamics

The policy instrument approach is one of the most widely adopted perspectives in public policy, as the radical change in the nature of governance has led to a shift in the focus of policy research towards governance (Salamon, 2002). Salamon’s call for an instrument-oriented approach for overcoming the shortcomings of implementation research and dealing with the ‘massive proliferation’ of public policy instruments has resonated widely across the field, and policy instruments have become a major focus of research on the policymaking process. Why, however, have instruments become so important for analytical purposes? The simple answer is that instruments are the way things get done in public policy – instruments are how public policy works. This means that governments work with policy instruments when they design policies and that interest groups want specific instruments to be adopted.

Policy instruments have therefore come to stand at the heart of analysing public policy. It should be noted that although central to the policy design perspective, policy instruments are not just a matter of policy design. They play a strategic

role in policymaking because of their multifaceted nature. The fact that they are the means by which things can be done means that they are ways by which the expected outcome can be achieved. Consequently, their content, in representing a possible solution to a policy problem, is also the bearer of various stakeholders' desires out of policy. In addition, policy instruments can represent specific ideas about how things should be done, so they can even be ideationally relevant for policy actors as well as for people. Policy instruments are very important because they are at the heart of the policymaking process and because it is only through the instruments that policy outputs and outcomes can be achieved. They are also very important because of their political dimension; most political conflict centres around the choice of instruments and the way in which the instruments should be designed.

Too often, scholars overlook this instrumental dimension of policy conflict: Conflicts arise not only over big instrumental choices (more or less regulation; more or less market-based instruments) but also over seemingly small decisions (e.g., a certain small percentage of public funding, the choice of eligibility criteria for certain social services or the design of the target of a certain policy intervention).

Overall, focusing on policy instruments is not only a way of understanding how and why they succeed or fail in solving policy problems – it is also a specific way of reading what happens in policymaking and understanding and, ultimately, explaining it in terms of policy dynamics, policy outputs and, potentially, policy outcomes.

Different Ways of Conceiving Policy Instruments

There are three perspectives from which scholars can analyse policy instruments, which also represent the three ways policymakers interpret them in practice. By following Hood (2007), these three analytical/interpretive approaches can be identified as follows: the 'instrumental perspective', the 'political perspective' and the 'institutionalist perspective'.

From the instrumental perspective, policy instruments are seen as external to the policy process and are rationally chosen by policy actors on the basis of the latter's preferences and contextual constraints. Such a perspective assumes that each instrument has specific objective characteristics that ensure specific, coherent effects to produce the expected change, and is therefore neutral with regard to the choice of policy instruments (i.e., the best instruments are chosen based on the specific context).

From a political perspective (Linder & Peters, 1989), policy instruments are an endogenous part of the policy process. Policy actors choose instruments not because they are neutral, but as a result of political interaction, as a framework through which to interpret policy problems. The choice of instruments is not based on a simple neutral/instrumental rationale (seeking optimality or effectiveness) but on the underlying political interaction through which reality is constructed.

Finally, the institutionalist perspective (Salamon, 2002) argues that policy instruments should be treated as 'institutions', that is, either as a set of organised rules and standard operating procedures that play a partially independent role in political life (March & Olsen, 2006) or as a set of social and political values and, as such, as potential carriers of meanings and values that contribute to the construction of reality (Lascoumes & Le Galès, 2007). By considering policy instruments as institutions, it is theoretically possible to release instruments from policy objectives (that is, to free them from their taken-for-granted relation). When viewed as institutions, instruments exist without clearly defined goals and (like all institutions) enjoy an independent existence (that is, independent from the original ideas that allowed them to be adopted in policy setting).

These three different perspectives are of great importance in reminding us that public policy instruments are not neutral means of achieving objectives. It is true that each public policy instrument can be seen as the most appropriate for achieving certain objectives in a specific context, therefore a specific instrumental capacity can be attributed to it. At the same time, however, public

policy instruments are also bearers of values. These values may be perceived more or less favourably by recipients, beneficiaries or society as a whole. Policy instruments are therefore inherently dual in nature. This makes the choice of instruments a purely political activity. Indeed, when deciding which instruments to adopt, decision-makers cannot but assess the trade-off in a given context between the perception of the instrument in terms of its ability to achieve the desired objective and the legitimacy that may underpin the chosen instrument (Capano & Lippi, 2017).

The Variegated World of Policy Instrument Classifications

A long research tradition in public policy has attempted to analyse policy instruments, by classifying them on the basis of specific analytical dimensions (Capano & Engeli, 2022): from coercion (Vedung, 1998) to behavioural assumptions (Ingram & Schneider, 1990) to government resources (Hood, 1983; McDonnell & Elmore, 1987). This distinction is important because what instruments are assumed to achieve in ‘in real-life policymaking depends on how they are conceptualised. These same policy instruments, such as performance-based funding, can be assumed to have an impact in reality, depending on how they are theoretically defined. For example, performance-based funding can be defined as an economic instrument based on Vedung’s classification (1998), as an incentive based on Ingram and Schneider’s typology (1990) and as a fiscal instrument based on Hood’s typology (1983). Therefore, the range of typologies is wide. These typologies allow researchers to make different theoretical and methodological choices according to their theoretical and analytical needs. It is worth noting, however, that these typologies are often used without precise knowledge of their theoretical–analytical implications (Acciai & Capano, 2021). For example, even today, many scholars fail to consider that Hood’s and McDonnell and Elmore’s typologies are governmental resource typologies, not political instruments (Capano &

Engeli, 2022). Policy researchers should, therefore, be aware that the types or categorisations of policy instruments they use delimit reality very specifically and that the types of instruments suggested by the main typologies are not interchangeable with each other.

It is important to bear in mind that classifications and typologies of policy instruments only make sense if they are seen as analytical tools for organising and describing reality or as conceptual tools for making specific hypotheses about how instruments achieve expected outcomes.

The Challenging World of Policy Instruments

Despite its relevance for understanding policy dynamics, the literature and research on policy instruments remains still underdeveloped, and there are many gaps to be filled (Capano & Howlett, 2020). There are at least two main issues that dramatically challenge policy scholars to make the policy instruments perspective more structured, institutionalised and able to provide a complete approach to public policy analysis. These issues involve the measurement of the characteristics through which instruments are designed and the assessment of the capacity of policy instruments to achieve their expected outcomes.

The Design of Policy Instruments

The way in which policy instruments are designed is of paramount importance for two main reasons. The first is that the way in which policy instruments are designed represents the policies’ content. All in all, policies adopt specific instruments in order to achieve the expected (more or less shared) objectives. From this perspective, policy instruments are the real outputs of policymaking. Thus, a better understanding of how instruments are designed is very important for understanding and measuring policy change (if it is intended to be precisely a change in the content of policy outputs). The second reason is that the characteristics of policy instruments are a matter of high interest to the policy actors involved and can thus

be a reflection of what is at stake from a policy point of view.

Research on the design of policy instruments as an operationalisation of policy change has its roots in the work of Sabatier (1988) and Hall (1993) and is further developed by Cashore and Howlett (2007). Therefore, there are different levels of analysis at which policy instruments can be considered. The macro-level is concerned with the general principles of the instrument (this is the level at which the logic of the instrument is at stake: more or less state, more or less market, etc.). The meso-level of analysis concerns where each type of instrument is located (regulation, expedition, information, etc.). The micro-level takes into account the specific characteristics through which instruments are designed (thus including different dimensions, which are those that, taken together, directly affect reality).

In the existing literature, the meso-dimension of instruments has been measured by ‘diversity’, i.e., the ability to adapt instruments according to the desired outcome, and by ‘density’, i.e., the number of policy instruments used (Fernández-i-Marín et al., 2021).

The micro-analysis of policy instruments is based on the insightful proposal of Salamon (2002), who suggested focusing on the package of features related to the way the implementation of instruments is designed (thus proposing that the delivery package is important in terms of the results to be achieved). This work has inspired others that have recently proposed a specific modulation of the various dimensions of the instrumental content of policy design (Schaffrin et al., 2015; Capano & Toth, 2023). Other contributions have even considered the micro-dimensions of objectives as constitutive of the content of policy instruments (Howlett et al., 2022).

These works shed light on the constitutive elements of policy instruments and are therefore crucial not only for understanding their impact on reality but also for clarifying what is really at stake in policy dynamics from a political point of view. Indeed, political actors certainly debate and ultimately struggle over the macro- and meso-dimensions of instruments. This is usually the case when major reforms are at stake or when a

new government is committed to the application of its own values in its policies. In these contexts, therefore, political interest in these instruments is related to the big picture of the policies and the kinds of instruments that are to be adopted. In terms of day-to-day political dynamics, however, policymakers are concerned with the design of the instruments, and it is at this level that small changes can really make a difference from a political point of view.

Finally, with regard to the design of policy instruments, it is worth recalling the stream of literature that has focused on the different ways in which instruments can be mixed over time together and with regard to objectives. The concept of the policy mix makes it possible to grasp the complexity of reality and to highlight the fact that in real policies, policy instruments are the basic units of a more complex design, which may have varying levels of coherence and consistency (Howlett & Rayner, 2013).

How Policy Instruments Achieve Expected Outcomes

Policy instruments are expected to affect and impact on actual policy reality. For example, when governments decide to introduce performance funding in higher education or incorporate vouchers into the school system, there is an expectation that these instruments will lead to will lead to higher-quality research and education. However, it must be stressed that, as the typologies of policy instruments presented above show, policy instruments are potentially equifinal, i.e., the same outcome can be achieved through the use of different types of policy instruments, depending on the context and the existing policy legacy. This is even truer when we consider the importance of the micro-design of policy instruments in terms of their impact on reality.

The fact that different policy regimes can produce the same results in different countries is a good illustration of the equifinality dimension. Equifinality, therefore, is something that should be taken into account by both policy scholars and practitioners. In fact, should the equifinality assumption hold, the adoption of policy instruments implies having in mind a clear idea of the

way in which these instruments will lead to the expected results.

In other words, the question here is why, *ceteris paribus*, policy instruments will lead to the expected outcome. This is not a crude question. Very often, the idea is that policy instruments produce certain results because of their own characteristics (from a neutral, objective perspective).

In order to understand if and how instruments can be considered drivers of the expected effect, and given their equifinality, a stream of literature has suggested treating instruments as activators of causal chains. This means that instruments do not directly cause the expected effect; depending on the context, they activate specific mechanisms that can push towards a self-sustaining mechanistic chain leading to the expected goal (Capano et al., 2019; Capano & Howlett, 2021). This way of thinking seems very appropriate because it not only helps contextualise the impact of policy instruments but also facilitates thinking analytically about how the way instruments that are micro-designed can make a difference in terms of their ability to activate more effective mechanistic causal chains.

Conclusion

Focusing on policy instruments is a fascinating line of research in public policy that deserves even more attention and work than what has been done so far. The analysis of policymaking through the lens of policy instruments allows for an understanding of the interaction between policy and the political side of policy dynamics. The fact that policy instruments are both potential drivers of expected outcomes (their ‘instrumental’ nature) and what is at stake for political and policy actors (the ‘political nature’ of policy instruments) makes studying them complex but promising for improving our understanding of the main drivers and characteristics of policymaking. Therefore, more attention should be paid to policy instruments by all the most widely used theoretical frameworks in public policy (from the Multiple Stream Approach to the Punctuated Equilibrium Theory, from the Advocacy Coalition Framework

to the Narrative Policy Framework). These frameworks do not pay any real attention to policy instruments, even though the policy actors in these frameworks precisely determine the most appropriate (for themselves, according to their ideas and interests) policy instruments. From this perspective, the policy instrument lens may provide an opportunity to increase integration and communication between different theoretical perspectives on public policy.

Cross-References

- [Evidence-Based Policy](#)
- [Formulation and Policy Formulation](#)
- [Policy Change](#)
- [Policy Design](#)
- [Policy Implementation](#)

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